Actually, by the end of 1968 it was evident that this enthusiasm had been overdone. The Hill shares had sold at 56 in 1967, more than 40 times the just-reported record earnings for 1966. But a small decline had appeared in 1967 and a further decline in 1968. Thus the current high multiplier of 35 was being applied to a company that had already shown two years of receding profits. Nonetheless the stock was still valued at more than eight times its tangible asset backing, indicating a good-will component of not far from a billion dollars! Thus the price seemed to illustrate—in Dr. Johnson's famous phrase—"The triumph of hope over experience."

TABLE 18-6. Pair 6.

	McGraw Edison 1968	*McGraw-Hill 1968*
Price, December 31, 1968	37⅝	39¾
Number of shares of common	13,717,000	24,200,000[a]
Market value of common	$527,000,000	$962,000,000
Debt	6,000,000	53,000,000
Total capitalization at market	533,000,000	1,015,000,000
Book value per share	$20.53	$5.00
Sales	$568,600,000	$398,300,000
Net income	33,400,000	26,200,000
Earned per share, 1968	$2.44	$1.13
Earned per share, 1963	1.20	.66
Earned per share, 1958	1.02	.46
Current dividend rate	1.40	.70
Dividends since	1934	1937
Ratios:		
Price/earnings	15.5 ×	35.0 ×
Price/book value	183.0%	795.0%
Dividend yield	3.7%	1.8%
Net/sales	5.8%	6.6%
Earnings/book value	11.8%	22.6%
Current assets/liabilities	3.95 ×	1.75 ×
Working capital/debt	large	1.75 ×
Growth in per-share earnings		
1968 versus 1963	+104%	+71%
1968 versus 1958	+139%	+146%

[a] Assuming conversion of preferred stock.

By contrast, McGraw Edison seemed quoted at a reasonable price in relation to the (high) general market level and to the company's overall performance and financial position.

SEQUEL TO EARLY 1971: The decline of McGraw-Hill's earnings continued through 1969 and 1970, dropping to $1.02 and then to $.82 per share. In the May 1970 debacle its price suffered a devastating break to 10